Country Compliance Report:

UNITED ARAB EMIRATES

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for United Arab Emirates which will be used throughout the whole document.

Term	Explanation
AoR	Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection), and must be issued after the validation of the received document with MH.
B2B	Business to Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer.
B2G	Business to Government, and refers to the exchange of goods, services or information between a business supplier and a public procuring entity.
Post Audit	The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure or how they should be issued or distributed. The tax audits are performed afterward.

2. General overview

This section provides an initial introduction into the local e-Invoicing environment within UAE including the types of local e-Invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Federal Tax Authority (FTA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Federal Law No. (1) of 2006 On Electronic Commerce and Transactions • UAE Federal Decree Law No.8 of 2017 on Value Added Tax • Cabinet Decision No. 52 of 2017 on the Executive Regulations of the Federal Decree Law No (8) of 2017 on Value Added Tax • Cabinet Decision No. 36 of 2017 on the Executive Regulation of Federal Law No. 7 of 2017 on Tax Procedures • Decision No. (3) of 2018 on Tax Invoices

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: (i) whether an e-Invoice is equal to a paper invoice from the legal perspective, and (ii) whether there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed.
Varying invoicing regimes[1]	• No.
e-Invoicing model	• Post-audit.
e-Invoice definition[2]	• No explicit definition stated by law. • A "tax invoice" is defined as "a written or electronic document in which the occurrence of a taxable supply is recorded with details pertaining to it".
Scope of taxpayers the e-document mandate applies to	• N.a.
Mandatory AoR (document response) process	• N.a.
Implementation / roll-out plan	• N.a.

[1] It is possible that a business is required to send e-invoice in some scenarios and send voluntarily in others.
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e., accounting law and IT law.

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for an IT number in UAE:
A UAE VAT registration application must be made on the federal tax authority portal (www.eservices.tax.gov.ae/).
Following thresholds apply to the obligation to be registered for a VAT:

- Exemption for small businesses – AED 375.000.
- If the Annual Turnover is between AED 187.500 & AED 375.000, registration is optional.
- Further, if it is less than AED 187.500, the company cannot register under this law.

For start-ups, if the VAT attracted expenses are more than AED 187.500, such companies must be registered under the UAE VAT law.
The threshold mentioned above will be calculated as follows:
The total value of supplies made by a taxable person for the month in which he is applying for VAT registration and the previous eleven months.
The total value of supplies of the subsequent 30 days on which he is applying for VAT registration.
If in any of the above two options, the turnover is more than AED 375.000- the company must register for VAT.
VAT number format: XXXXXXXXXXXXXXX (15-digit combination).

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements.
Actions between the trading partners, e.g., customer acceptance, agreement, etc.	• No explicit requirements. • The Government must give an explicit consent to dealing electronically in transactions when it is a trading party.
Transition period from the moment of starting e-invoicing during which, e.g., parallel invoicing may be allowed	• No explicit requirement.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed.
Whether statement of outsourced issuance is required on the invoice	• Not required.
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Not required, however, high recommended.
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirement.
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirement.
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements.

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

UAE has no explicit requirements on the outsourcing of the function of receiving invoices (like the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Comment
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• N.a.
Other document format(s) commonly used for exchange between trading parties	• PDF, paper.
Mandated platform(s) required to have connection with for e-document processing	• N.a.
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counterparty identification and document exchange	• N.a.
Other technical aspects	• N.a.

5.2. Communication with [HUB]

Regulations in UAE foresee the following options on how e-Documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• No explicit requirement.
Manual	• No explicit requirement.
Other options	• No explicit requirement.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country.

The issuance process is unregulated, that is, the document can be generated and transmitted in any format agreed upon by the trading parties.

5.3.2. Cross-Border

This section describes the requirements for Cross-Border outbound documents such as sales invoices.

The use of e-Invoicing for Cross-Border documents is not explicitly regulated.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

Like the issuance process, it is unregulated, that is, the document can be generated and transmitted in any format that is agreed upon by the trading parties.

5.4.2. Cross-Border

This section describes the requirements for Cross-Border inbound documents such as purchase invoices.

This aspect is not explicitly regulated.

5.5. AoR (response) process

There are no explicit requirements for how to communicate invoice approval or rejection notification.

5.6. Hub validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi-approval, etc.

There is no mandatory infrastructure conducting invoice validations.

5.7. Invoice presentation/ copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no requirements for invoice copies to have any wording to differentiate it from the original, but it is recommended.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains if and how trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	No explicit requirements.
Pull communication	No explicit requirements.
E-mail distribution	Allowed.
Web portal[4]	No explicit requirements.
Scanning inbound invoices	No explicit requirements.
Scanning outbound invoicing	No explicit requirements.

5.9. Rectification process

The purpose of this section is to describe how to proceed when an invoice contains an error, how it is to be handled and corrected by both buyer and seller, and whether a notification needs to be sent to the tax authorities.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note.

[4] Note, however, that prior to using and external portal, like Pagero's Web portal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

What are the options to correct an invoice if the customer returns the goods	• Credit note.
What are the options to correct an invoice if the customer paid too much	• Credit note.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note.
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• May issue a duplicate invoice/new invoice if the previous one is cancelled.
Other scenarios with different correction option	• No.
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e., no self-billing)	• Supplier.
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible based on this document	• No.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g., electronically and on paper) is allowed and/or whether there are any regulations surrounding it	There are no specific requirements, however, it is recommended to be avoided.
Whether the jurisdiction allows for document (e.g., invoice) dematerialization, i.e., destruction of the original paper invoice, for processing and/or archiving	Digitized storage of all paper invoices received is allowed provided that the electronic invoice is kept for the required record-keeping period and taxpayer can show that the information matches that of the original paper version. If the above criteria are fulfilled, the original paper version can be discarded.
Whether any conditions apply, and which, to the dematerialization	Yes, see above.
Whether the jurisdiction allows for document (e.g., invoice) materialization, i.e., destruction of the original electronic document, for processing and/or archiving	Allowed if the following conditions are met: a. The Electronic Record is retained in the format in which it was generated, sent or received, or in a format which can be demonstrated to represent accurately the information generated, sent or received.

	b. The information contained therein is accessible to be usable for subsequent reference; and c. Such information, if any, is retained to enable the identification of the origin and destination of the Data Message and the date and time when it was sent or received.
Whether any conditions apply, and which, to the materialization	Yes, see above.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Not applicable.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice. • Simplified invoice. • Credit/ Debit note.
Documents mandatory for issuance by buyer	• None.

Item	Commentary
Self-billing allowed	• Yes.
Simplified invoice allowed	• Yes.

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes.
Different series of sequential numbers allowed (e.g., a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes. There is no specific restrictions or guidelines for the sequential serial number used by the taxpayer. However, it is recommended to use clear and easy to follow pattern with clear explanations documented for starting/ using different series for different types of supplies/ tax periods.
Allowed to start a new sequential numbering every year	• Yes, there is no specific restrictions or guidelines. Follow the recommendation above.

Worldwide numbering on legal entity level allowed if gaps can be explained	• No specific restrictions or guidelines.
Required that the numbers follow the date of issuance (i.e., an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No specific restrictions or guidelines.

6.2.2. Additional document numbering

A description of any additional numbering should be included in this section, for example, if the tax authority provided additional numbering or whether the taxpayer requested it.

6.3. Indirect tax (IT)[5] rates

This section illustrates the applied IT[6] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
5%	**Standard**	All other taxable goods and services.
0%	**Zero**	Export of goods and services, Transportation of goods and passengers and goods/services intended for consumption onboard, Supply of certain means of transportation and specific related goods/services, Investment precious metals, First supply of residential and converted residential buildings, Supply of buildings used by charities, Crude oil and natural gas, Educational services, Healthcare service.
	Exempt	Financial services, Residential buildings, Bare land, Local passenger transportation.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of the UAE. Please note that other additional content requirements might apply in addition, i.e., of technical character.

General	
Required to mention the word "invoice"	• Yes, clearly mention "Tax Invoice".

[5] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[6] Local name ضريبة القيمة المضافة

Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No, but translation can be requested.
Sequential numbering	• Yes.
Required to mention copy or duplicate in case a copy is issued	• Not required by legislation but recommended.
Reference in case of outsourced issuance	• No.

Supplier data	
Full legal name of the supplier	• Yes.
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well.
Full address of the supplier in country of establishment	• Yes.
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes.
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes (TRN), if a registration is available in the country of supply.
IT identification number of the supplier in the country of establishment	• No.
Information (i.e., name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No.
Legal form of the supplier	• No.
Trade register number of the supplier	• No.
Company Registry data of the supplier (e.g., court registration, address of chamber of commerce)	• No.
Place of legal seat of the supplier (Headquarters)	• No.
Other supplier data	• No.

Customer data	
Full legal name of the customer	• Yes.
Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well.
Address of the customer in country of establishment	• Yes.
Bill-to address when it is different from the registered address of the customer	• No, but recommended.
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes provided that the legal address is mentioned as well and it is clearly indicated.
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes (TRN).

IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No.
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No.
Information (i.e., name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No.
Other customer data	• No.

Transaction data	
Date of issue	• Yes.
Date of supply (chargeable event)	• Only if it differs from the invoice date.
Date of prepayment	• Only if it differs from the invoice date. • Receiving payment in advance will be considered a tax point for the supply being made to the extent of the payment received and should be included as the 'Date of Supply' on the invoice where it differs from the invoice date.
Description of the goods/services	• Yes.
Quantity of the goods supplied, or the extent of the services supplied	• Yes.
Purchase order number	• No.
Shipped from location (for the supply of goods)	• No, but recommended. • The place of supply rules follows the location of the goods including where these were made available to the customer and inform the tax liability of the supply. Therefore, recommended to include in invoices issued (tax or commercial invoice).
Shipped to location (for the supply of goods)	• No, but recommended.
Status of the goods (e.g., in bond, in free circulation)	• No, but recommended, especially in case of cross-border transactions.
Incoterms	• No, but recommended, especially in case of cross-border transactions.
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No.

Financial data	
Taxable base per item (unit price excl. IT)	• Yes.

Total taxable base per IT rate or exemption	• Yes.
IT rate applied	• Yes.
Total IT amount calculated per rate	• Yes.
Total IT amount payable	• Yes.
Discounts/rebates if not included in the unit price	• Yes.
Total gross amount (including IT)	• Yes, as a full tax invoice includes several line items, each shall have the net amount payable (excluding the tax) as well as the tax due. The FTA accepts that a full tax invoice does not need to include gross amounts (i.e., inclusive of tax) for each line item, as the total gross amount payable for the invoice shall be stated in the invoice.
Mandatory to mention the total IT amount due in the national currency	• Yes, the tax amount payable converted to AED.
Which other amounts (i.e., none, only the total IT amount) must be mentioned in the national currency of your country	• None.
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• Exchange rate provided by the UAE Central Bank at the date of supply.
Terms of payment	• No, but recommended.
IBAN and BIC number of supplier	• No, but recommended.

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No. • This is for intra-GCC invoices however the implementing state rules are not yet effective and hence this requirement is not applicable for tax invoices at present.
List of the required references in case of exemption or reverse charge	• N.a.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "	• N.a.

Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No, but recommended.
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No.
Specific other reference required, e.g., in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No.
Specific references required in case invoicing is outsourced	• No.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No.
Other specific requirements/references to be mentioned on an invoice	• No.

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes.
Maximum amount for simplified invoices	• Consideration is AED 10.000,00.
Other supplies for which a simplified invoice can be issued	• No.
Simplified invoices limited to certain type of supplies	• Yes. When the recipient of goods/services is not a registrant.
Simplified invoices not allowed for certain transactions	• No.

Minimum content requirements on a simplified invoice	1. the words "Tax Invoice" clearly displayed on the invoice. 2. the name, address and TRN of the registrant making the supply. 3. the date of issuing the tax invoice. 4. description of the goods/services supplied. 5. the total consideration and the tax amount charged.
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that are taxable in our country. A full tax invoice meeting the requirements of Article 59 of the UAE VAT Executive Regulations should be issued. However, this is not required for zero-rated supplies where the particulars of the supply can be established through other documents such as a commercial invoice etc.
(other) Invoices subject to the national invoice requirements (not self-bills)	• No.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In the UAE a credit/ debit note must be issued as rectification documents. A credit/ debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes.
Reference to original invoice required on a credit note	• Invoice number.
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g., minus sign '-')	• No. Nevertheless, tax credit notes need to show all the following values: - The value of the supply shown on the Tax Invoice; - The correct amount of the value of the supply; - The difference between those two amounts; and - The Tax charged that relates to that difference in AED.
Reason for credit required	• Yes.

Sequential numbering	
Separate sequential credit note numbering required	• No.
Allowed to issue one credit note to correct different invoices	• Yes.

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

No additional requirements.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes.	• Yes.
Which methods for ensuing I&A are provisioned for	• Any means Business Controls, EDI, e-signature.	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements.	• No explicit requirements.

The "Electronic Transactions Law", originally introducing a transitional period set to begin January 2023, provides legal recognition to e-signatures, which means that e-signatures will have same weight as handwritten signatures, as per decree law no. 46 of 2021. Meaning, the electronic transactions law will be aligned with the EU eIDAS regulation.

UAE has implemented further legislation regarding digital transactions and trust services in the country. These executive decisions, while postponing the transition period to **2 January 2024**, still address licensing and means of mutual recognition for foreign digital certificates to be recognized by the TDRA (Telecommunications and Digital Government Regulatory Authority).

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• No explicit requirements
Automated e-signing	• No explicit requirements
Timestamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Timestamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g., tax invoice, source documents, audit trail, I&A proof)	• Under Art 78 of the VAT Federal Decree Law, the Taxable Person shall keep the following records whether electronically or hard copy: 1. Records of all supplies and Imports of Goods and Services. 2. All Tax Invoices and alternative documents related to receiving Goods or Services. 3. All Tax Credit Notes and alternative documents received. 4. All Tax Invoices and alternative documents issued. 5. All Tax Credit Notes and alternative documents issued. 6. Records of Goods and Services that have been disposed of or used for matters not related to Business, showing Taxes paid for the same. 7. Records of Goods and Services purchased and for which the Input Tax was not deducted. 8. Records of exported Goods and Services. 9. Records of adjustments or corrections made to accounts or Tax Invoices. 10. Records of any Taxable Supplies made or received in accordance with the reverse charge mechanism, including any declarations provided or received in respect of those Taxable Supplies. 11. A Tax Record that includes the following information: a. Due Tax on Taxable Supplies. b. Due Tax on Taxable Supplies under the reverse charge mechanism. c. Due Tax after the error correction or adjustment. d. Recoverable Tax for supplies or Imports.

	e. Recoverable Tax after the error correction or adjustment.
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format.
Legibility, i.e., the ability to read stored e-Documents by an untrained eye	• Required.
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability.
Retention period for invoices not related to immovable property[7]	• 5 years, can be extended with another 4 years.
Start point of retention period calculation for invoices not related to immovable property	• After the end of the Tax Period to which they relate to: - For a period of (5) years after the end of the Tax Period to which they relate in the case of a Taxable Person. - For a period of (5) years from the end of the calendar year in which the concerned document was created in the case of non-Taxable Persons.
Retention period for e-Invoices related to immovable property	• 15 years. Any records related to a real estate required to be kept shall be held for a period of 15 years after the end of the Tax Period to which they relate.
Start point of retention period calculation for invoices related to immovable property	• After the end of the Tax Period to which they relate to.
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 15 years after the end of the Tax Period to which they relate to.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• 15 years after the end of the Tax Period to which they relate to.
Outsourced archiving	• Allowed.
Archiving abroad[8] and conditions, if any (e.g., notification, derogation, online	• Yes, everywhere. • There is no specific restriction in this case, however taxpayers are required to ensure that all records are

[7] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

[8] In certain situations, or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g., concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

access, mutual tax assistance treaty	available in case the FTA requests to see these and usually time limits given to provide the data are quite short.
Other requirements in relation to electronic document retention	• No.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements.
Rectification document	• Yes, see section 6.7 above.
Payment instruction	• No explicit requirements.
SAF-T (or alike) reporting	• No.
Transportation documents	• No explicit requirements.
Other	• No.

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

No explicit requirements.

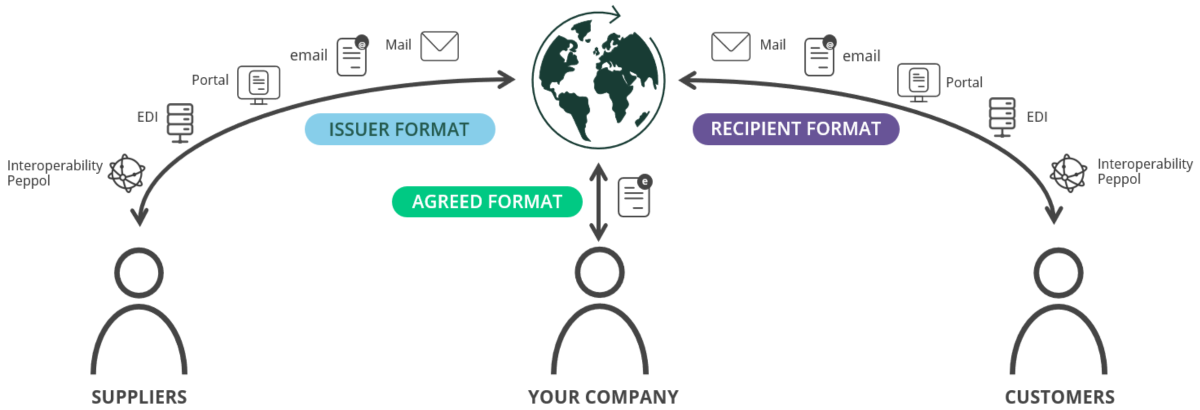
10.2. Indirect tax reports

No explicit requirements.

11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) and reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners.
(2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements.
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms.
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and e-Archiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasize this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavors to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
17 April 2021	• Document created
5 October 2021	• Section 6.4: updated content
5 October 2021	• Section 6.5: updated content
6 October 2021	• Section 8: updated content
13 October 2022	• Section 7: added information regarding Electronic Transaction Law (eIDAS type)
23 February 2023	• Section 3: updated content • Section 5.9: updated content • Section 6.4: updated content • Section 8: updated content